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Global EM Strategist

A Systematic FX Strategy

Systematic strategies can add value to a discretionary process by stress-testing views and building conviction. We take a break from our typical FX/EM commentary to highlight a systematic strategy from our QIS team.

Key Takeaways

- The Morgan Stanley QIS team recently highlighted the attractive returns from FX systematic investing strategies throughout different market conditions and regimes.
- We don't generally use systematic strategies to drive our views, but there is no reason why we cannot use them as an input to stress-test our views.
- The QIS team's strategy is modestly long USD. We are neutral with a bearish bias in part due to the house call on the Fed, which is more dovish than market pricing.

Must reads from Global EM Strategy

South Africa Economics & Strategy: SARB Preview: A Divided Hike & Steeper Curve | 20-Jul-2026

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Buy EUR31s vs EUR35s as belly outperformance looks overdone. Morocco is absorbing higher oil prices without a material deterioration in the credit story, external buffers remain strong, and we think the path to IG in 2026 remains intact as long as oil does not spike again.

Quantitative Investment Strategies: Beyond Carry: Building a More Resilient FX Return Engine | 16-Jul-2026

FX systematic investing has delivered attractive returns over recent years, driven by the re-emergence of carry opportunities and technical return

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patterns. Extending signal breadth using market insights improves performance further.

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Global EM Strategy

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Morgan Stanley FX and EM Strategy generally do not develop investment ideas following a systematic rule based framework. Our Quantitative Investment Strategy research team does, however, and last week published a new FX Multi-Factor Strategy that has delivered impressive return metrics over many years. See [Quantitative Investment Strategies: Beyond Carry: Building a More Resilient FX Return Engine](#) while a brief summary of the publication can be found below.

Clients who want to explore following a systematic strategy should consider getting in touch with Stephan Kessler and team.

However, just because the Strategy team doesn't run systematic strategies, doesn't mean we can not use them as an input in our process, which discuss now.

Local markets trades overview

- **Rates: CEEMEA:** Long 6m EGP T-Bills (FX-Unhedged), SA 1y1y-2y2y steepener, HUF 5Y5Y receiver versus PLN 5Y5Y payer, long NGOMOB 22-Sep-26 (FX-unhedged); **Asia:** Pay 5y HKD IRS versus USD IRS, pay 5y INR NDOIS, 1s5s THB NDTHOR steepener; **LatAm:** 2031 vs 2037 PERUGBs flattener, Receive 5y IBR vs SOFR, Buy 2028 MBonos
- **FX: CEEMEA:** Short EUR/HUF, short 3m USD/TRY forward

Quantitative Investment Strategies: Beyond Carry: Building a More Resilient FX Return Engine

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The Systematic Strategy vs MS views

The FX Multi-Factor strategy has a total exposure of -21.0%, which means that it is long the USD versus the traded currencies in the portfolio. Thus, the strategy is positioned for USD strength. [Exhibit 1](#) shows the time series of the strategy's net USD positioning, which makes clear the long USD position is relatively modest vs history.

Currently, the strategy is skewed to be short other currencies versus the USD. In the original note published last week, our QIS colleagues referenced the size of the positions the strategy is long or short vs USD in percentage terms, which referred to the nominal percentage of the overall portfolio risk allocation to a particular currency. The strategy had the largest short in CNH, at -47.2%.

The percentage allocation to each currency is determined in part by the strength of the signal – or conviction level – in the position, but also the volatility of each currency. The weight for CNH appears large because the volatility of CNH is low.

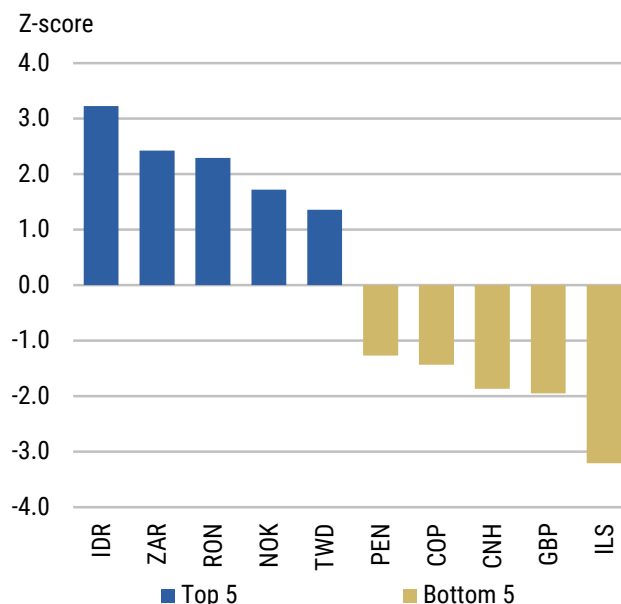
For a discretionary macro PM that may not be looking to implement the full strategy but act selectively depending on the strength of the signal for a particular currency, it is probably more useful to reverse the adjustment for volatility.

In [Exhibit 2](#) we show the z-scores for the weight allocated to each currency relative to the last 12m of data - to account for near-term volatility. When measured in this way, The top five longs are IDR, ZAR, RON, NOK and TWD, and the top five shorts are PEN, COP, CNH, GBP and ILS.

The strategy thus has a long carry bias, and is modestly long USD.

Exhibit 1: Strategy has a modest long USD position

Source: Morgan Stanley Research

Exhibit 2: Which are the favourite longs and shorts? *

Source: Morgan Stanley Research *we have taken the weights the Multi-Factor Strategy applies to each currency and converted into a 1y z-score.

Why are we not long USD, if the systematic strategy is? The strategy's net long USD position is sending a different signal to our current view on USD, where we are neutral but have a bearish bias. In recent weeks, the USD has been strong and so the strategy continues to challenge our thinking and encourages us to look for blind spots, in our view.

Indeed, it is notable that the strategy has held long USD position to varying degrees since mid-March, and the USD is generally higher since then.

A key pillar of our current bearish bias on the USD is the expectation for the Fed Funds rate to be lower than what markets and the broader consensus expect. This more dovish path for US monetary policy is not something that the systematic strategy would necessarily reflect and helps to explain where we differ.

The short position against CNH is notable, as the currency has been among the top performers within Asia so far this year and investors are on the look out for catalysts that could reverse the trend.

The continued dependence on the export channel for economic growth likely means that sustained CNY strength and outperformance vs peers poses headwinds for the economy. Recent data show continued increases in the trade surplus, which don't indicate a significant concern for the currency yet, but the systematic Strategy is picking up something that deserves further interrogation.

How Discretionary Macro PMs Could Use Systematic Strategies

Most of our research in the FX EM Strategy relies on a discretionary approach, with an analysis of business cycles, monetary policy, and risk appetite, mixed in with quantitative tools to help us understand valuation, positioning, and risk premia. In these quantitative tools, considerations around sentiment, technical, and fundamental signals - which we apply in our FX Multi-Factor strategy - play an important role.

Thus, we are strong proponents of quantitative inputs in a fundamental decision-making process. However, we don't necessarily mix these variables together in a fixed or systematic way, but use our judgement to tie the pieces of the puzzle and place different weights on various components of the story as the cycle evolves. Many of our clients at asset managers and hedges funds will follow a similar approach.

There is, however, value in considering signals from systematic strategies as another input within a broader discretionary approach. Cherry-picking when to incorporate a signal from a systematic strategy is not within the spirit of how systematic strategies are intended, of course. However, for a discretionary macro portfolio manager, there is no such promise to stick to a systematic model-driven approach in the first place. Using such signal selectively is normal discretionary practice, similar to incorporating other inputs such as positioning, central bank commentary, or macro data.

When might systematic signals add value to a discretionary process?

- **Guarding against confirmation bias:** Any discretionary process is potentially exposed to confirmation bias. Adding a proven systematic overlay could serve as a tool to guard against this. If a particular currency has been performing well for some time in a discretionary portfolio and an investor is inclined to keep the position, but the systematic strategy suddenly starts sending the opposite signal this can act as a prompt to re-examine the thesis and check for blind spots.
- **Timing & sizing trades:** Validation and support for a particular position by a systematic strategy could help with conviction and thus provide the signal needed to enter or exit a trade, or to adjust the size of it within the overall portfolio.
- **Filtering a market view:** Multi-factor systematic strategies are agnostic to the market regime. However, discretionary portfolio managers will likely take a view on whether markets are trending, in a risk on or off backdrop and thus whether carry trades are likely to be effective. By taking a view, the discretionary macro PM could tune into a particular factor within the multi-factor strategy that he/she expects to be dominant, filtering out those that are not likely to apply. If we are in a range-trading environment, momentum strategies could be filtered out, for example.

As mentioned previously, within the FX Strategy team we use a range of quantitative signals (valuation signals, risk premia, and positioning indicators, for example) as an input to our process already. Over time, we expect to integrate more factor-based strategies such as those found within this publication into our process.

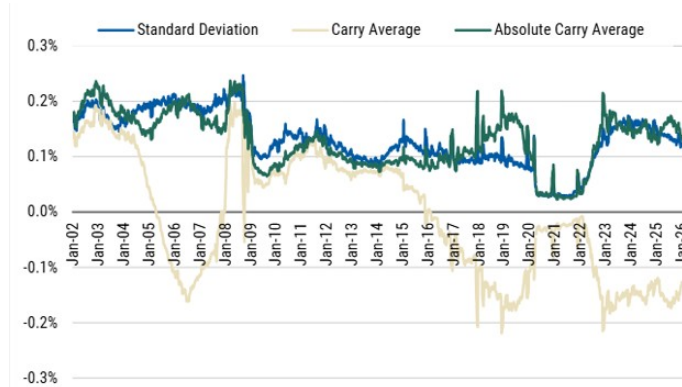
Quantitative Investment Strategies: Beyond Carry: Building a More Resilient FX Return Engine

The below is a summary of *Quantitative Investment Strategies: Beyond Carry: Building a More Resilient FX Return Engine*, first published on 16th July 2026.

Systematic FX is back: After a prolonged period of weak performance in the decade following the GFC, FX Carry has returned to the strength it showed in the early 2000s, and the broader systematic FX complex is enjoying a renaissance ([Exhibit 3](#)). Our QIS colleagues attribute this revival mainly to wider rate dispersion across the globe, with the JPY's multi-year depreciation adding a further tailwind (though expected to continue, but less strongly). The broader opportunity, however, extends beyond carry. Combining technical, fundamental and sentiment signals creates a more balanced return engine that can participate in different market environments rather than depending on a single risk premium.

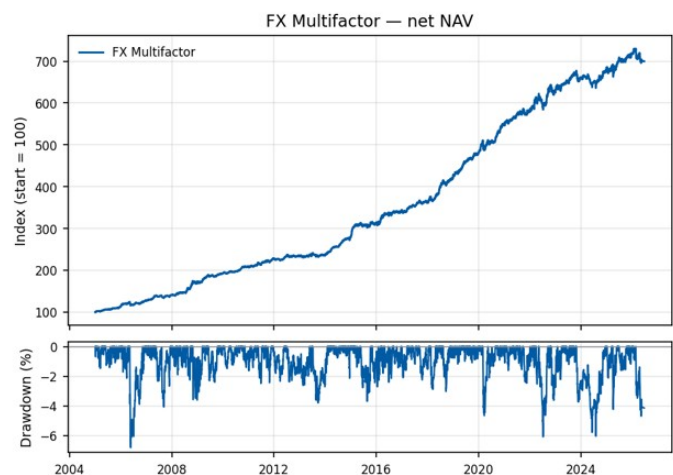
A Multi-Factor approach is the core idea: Rather than leaning on any single signal, the Morgan Stanley FX Multi-Factor strategy blends three loosely related signal groups - technical, fundamental, and sentiment - scoring each currency, translating scores into long/short positions, and rebalancing to a constant risk target. Because the factors capture distinct return drivers, weakness in one can be offset by strength in another. The result is a Sharpe ratio of 1.87, a CAGR of 9.3%, and a maximum drawdown of just -6.8%, with returns that compound steadily and no prolonged down periods. ([Exhibit 4](#))

Exhibit 3: Carry opportunities in developed FX markets (DM) over time



Source: Morgan Stanley Research. Note: Averages and standard deviation are calculated in the cross-section of currencies.

Exhibit 4: The FX Multi-Factor portfolio compounds steadily across the sample with no single dominant regime

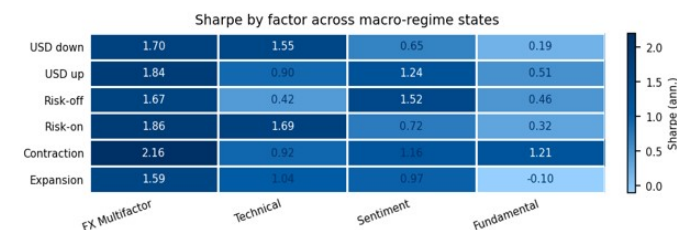


Source: Morgan Stanley Research

Regime analysis reinforces this conclusion: The strategy is not one that is tied to specific macro regime, but one whose components respond in economically intuitive and complementary ways. Conditioned on three regimes (USD direction, Risk sentiment, US growth) the strategy holds up throughout. ([Exhibit 5](#))

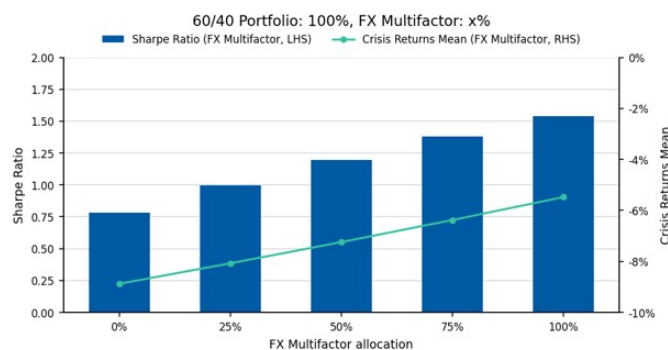
- The portfolio generated Sharpe ratios of 1.84 when the USD was strengthening and 1.70 when it was weakening, indicating that USD direction changes factor leadership but does not eliminate returns.
- Similarly, Sharpe ratios were 1.86 in risk-on markets and 1.67 in risk-off markets.
- The strongest performance occurred during US manufacturing contractions, when the portfolio achieved a Sharpe ratio of 2.16 versus 1.59 during expansions.

Exhibit 5: Sharpe of the combined portfolio and the four factors across macro-regime states



Source: Morgan Stanley Research

Exhibit 6: A 60/40 portfolio at its native volatility with an FX Multi-Factor Strategy overlay sized from 0% to 100%: combined Sharpe ratio (bars, left) and the average cumulative return across crisis periods (line, right)



Source: Morgan Stanley Research

Cross-asset diversification: FX Multi-Factor is a distinct return stream, with near-zero correlation to equity, rates, commodity and volatility strategies, even during market stress, indicating that returns are driven primarily by currency-specific signals. The strategy also improved a conventional 60/40 portfolio when used as a capital-efficient overlay. As the FX allocation increased from zero to a full-sized overlay, the combined Sharpe ratio rose from 0.78 to 1.54, while the average return across selected crisis periods improved from -8.9% to -5.5%. ([Exhibit 6](#))

What can we say about positioning?

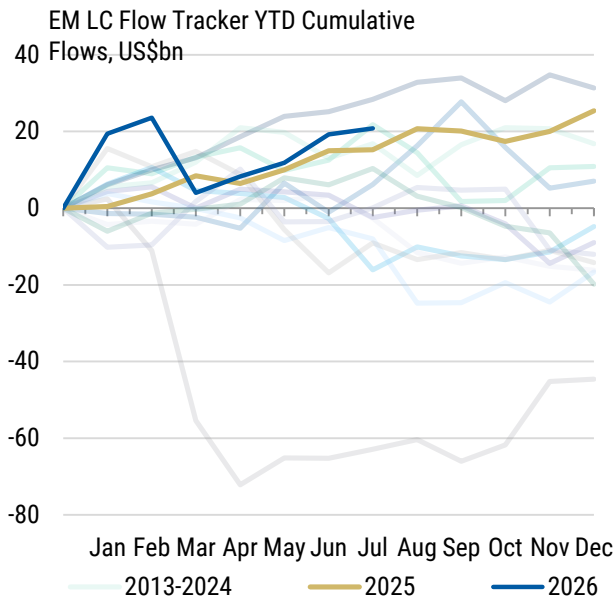
In EM local currency bond markets, our flow tracker covers 9 EM markets – all benchmark countries – that report data on foreign holdings of local currency government bonds on a reasonably high frequency basis. Some of the data are more timely than others, but overall we can get a reasonable sense of foreign flows by making valuation and exchange rate adjustments.

As of Friday July 17th, we had data from 4 of the 9 countries. The data are a good approximation for trends in the overall market (see our [primer here](#))

- **Inflows running ahead of last year:** After a strong start to 2026 (+\$23.6bn by end-February) and heavy outflows in March that dragged cumulative flows down to just +\$4.0bn, inflows have rebuilt steadily through spring and summer to around +\$20.8bn YTD. That leaves 2026 tracking ahead of 2025, which had seen roughly +\$15.3bn by this point. We expect inflows to keep building through the year provided global fixed income conditions stay stable.
- **3m sum still elevated but off its peak:** The rolling 3-month sum swung from around -\$20bn in the spring to a peak near +\$40bn a fortnight ago, and now stands at about +\$27bn – still in the 93rd percentile of its history. With the sharpest inflows starting to roll off, the indicator has eased modestly but remains firmly positive.
- **Returns broadly flat on the year:** EM local total returns have slipped around 0.7% over the past two weeks, leaving them marginally negative QTD (-0.3%) and up

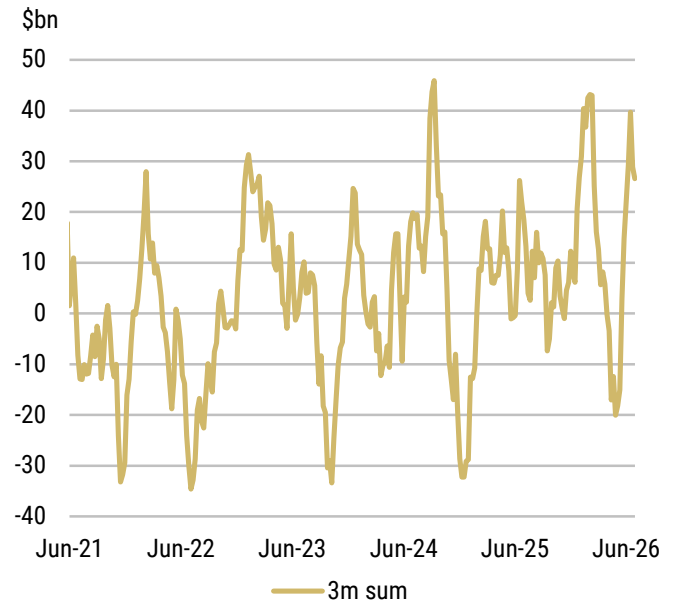
about 1.3% YTD. Carry continues to do the heavy lifting, offsetting softness in spot FX and duration.

Exhibit 7: Flows have stabilised



Source: Haver, National Sources, Bloomberg

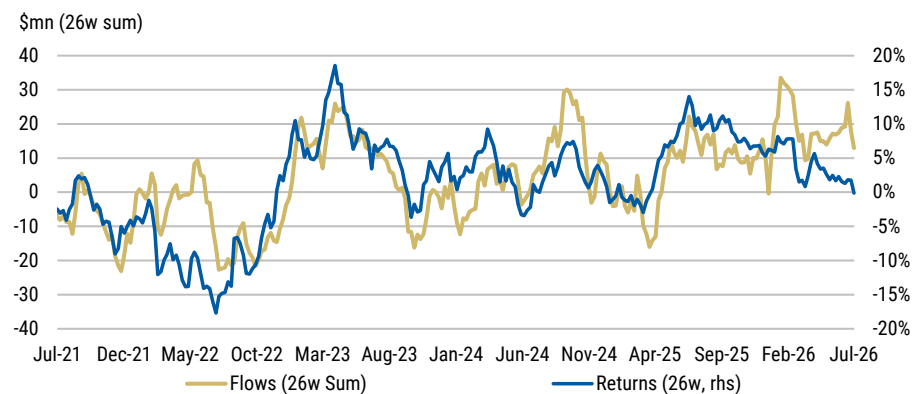
Exhibit 8: 3m flows negative but the weakness is back-loaded



Source: Haver, National Sources, Bloomberg

Our flow tracker into 9 EM local markets is correlated with the returns of the overall local currency government bond market. This is not surprising, but confirms the validity of our tracker. Over the past 6m, returns and flows are very much in the neutral zone, though some modest divergence is opening up with returns softening.

Exhibit 9: Inflows are correlated with returns. So if we hit extremes on outflows (not there yet) the risk/reward to enter the market could be strong



Source: Morgan Stanley Research, Bloomberg

In FX markets, we use FX options data to gauge positioning, and the latest data show investors still carry a net long USD bias, though they have trimmed it over the past fortnight.

- **Long USD** positions: The Broad USD, BBDXY and DXY indices that investors track

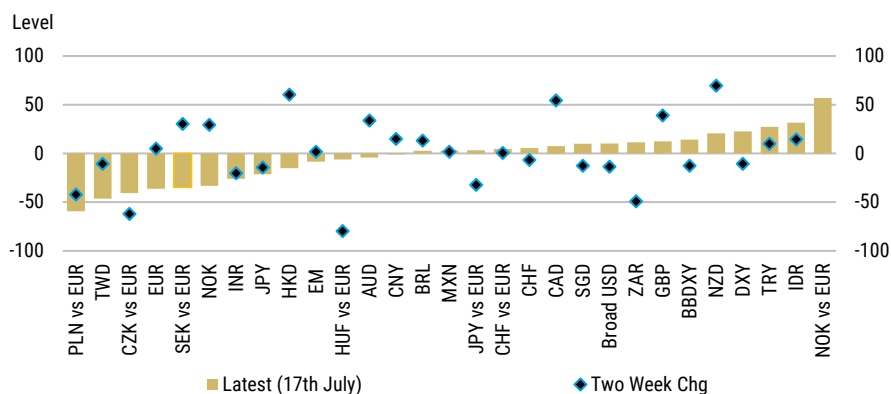
all remain net long – around the 54th, 55th and 60th percentiles of their history respectively, with the DXY the most stretched at +23.

- **But trimmed:** That said, investors pared USD length over the last two weeks, cutting all three measures by roughly 11–14 points, though positioning is still well above late-February levels (USD longs are up ~20–22 points since 27th Feb). The pullback was led by fresh demand for GBP, the Antipodeans (NZD and AUD) and CAD, where longs were added most aggressively.

HUF positioning cut back: EM FX positioning sits marginally net short (aggregate at -8, ~42nd percentile), with wide dispersion across the complex. The largest longs are in IDR (+31, 71st percentile) and TRY (+27), while the biggest shorts sit in TWD (-47) and INR (-26). Over the past two weeks investors added to CNY, IDR, BRL and TRY, but took profit on ZAR (still long but cut ~49 points) and materially reduced CEE exposure – the previously large HUF vs EUR long was cut to roughly neutral (-6, down ~80 points), and PLN and CZK shorts were extended.

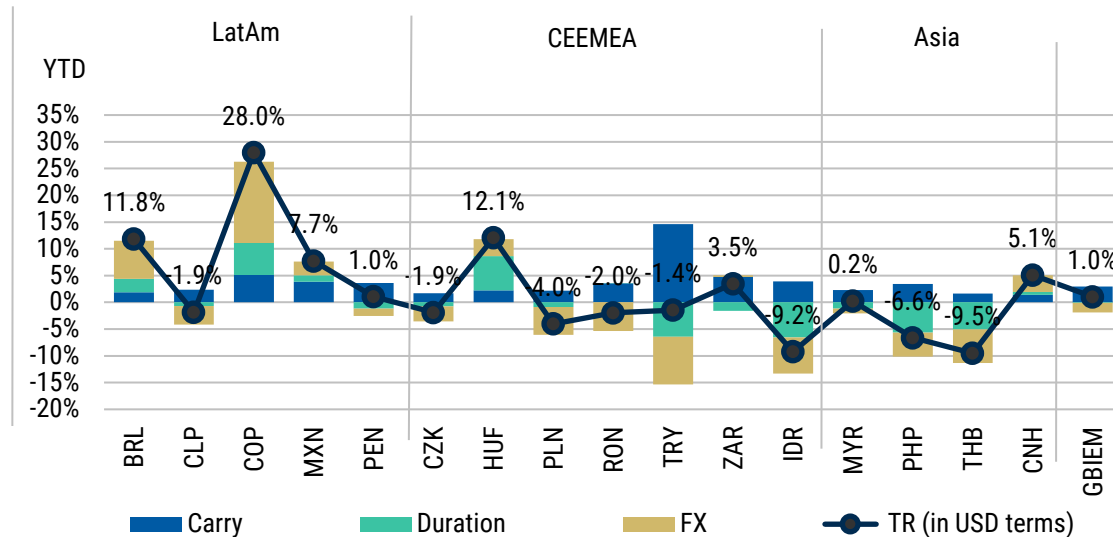
We stay bullish on EM currency and share the optimism reflected in FX options data.

Exhibit 10: Positioning in the FX Options Market



Source: DTCC, Bloomberg, Morgan Stanley Research; Note: Using options that were traded in the past three months and expire in the coming one month. Notionals are delta-adjusted. Data as of Friday, April 19. See [FX Trading Signals From Options Data](#) and [Assessing FX Positioning with Currency Options](#)

EM total returns for the year are just north of 1% though with significant regional variation. Latin America remains the only region with broad positive total returns, with duration and FX both contributing. Colombia is now the asset class' biggest outperformer at +28% YTD in USD terms – an FX-led move – having overtaken Hungary, with Argentina (+19%) and Brazil (+12%) also strong. In CEEMEA, Hungary stands out (+12%), with South Africa contributing modestly (+3%). Asia continues to lag, with China (+5%) the only positive market while Thailand and Indonesia are down around 9%.

Exhibit 11: Much of CEEMEA and Asia have underperformed ytd)

Source: Bloomberg, Morgan Stanley Research

Required reading

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We expect the MPC to deliver a 25bp policy rate hike this week. Lower oil prices reduce the near-term CPI path but do not yet eliminate the risk that the energy shock will propagate through services and expectations. We favour 1y1y–2y2y steepeners, while remaining neutral on USD/ZAR.

EM Sovereign Credit Strategy: Where Supply Meets Demand | 17-Jul-2026

EM flows: Global-mandated EMDD funds saw inflows worth US\$999m last week, from US\$918m inflows from the prior week.

EM Sovereign Credit Strategy: Rich & Cheap Watch | 14-Jul-2026

EMBIG-D tightened by 5bp to 232bp in the past week (1W). Spreads tightened the most in B and widened the most in A rating categories. Region-wise, spreads tightened the most in SSA and widened the most in Asia.

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Hungary Economics and Macro Strategy: NBH Preview: Reducing Tightness | 15-Jul-2026

With inflation subdued, we expect the NBH to ease its key policy rate by 25bp to 5.75%. We believe forward guidance may become more cautious on the back of the resurfacing energy price volatility. We continue to like short EUR/HUF and 5y5y receivers in HUF vs PLN.

LatAm Macro Strategy: Peru: With Politics Behind Us, What's Next for Markets? | 13-Jul-2026

- Politics are no longer the primary market driver as focus shifts to valuations, technicals and policy execution.
- Front-end Soberanos now trade below USTs and the BCRP policy rate on mid-year debt management operation expectations, with risks skewed towards a retracement.
- As Peru's food CPI weight is the largest among major peers, realized CPI and 12m expectations remain highly vulnerable to El Niño, raising the risk of hikes.
- We now see the Soberano curve as very susceptible to flattening from current levels (steepness not seen since COVID easing) and add 31 vs 37 PeruGB flatteners.
- PEN valuations look cheap, but gains should be capped by a very active BCRP and external uncertainty.

Peru Economics & Strategy: Central Bank Review: Neutral Stance Maintained as Underlying Inflation Remains Contained | 10-Jul-2026

- BCRP held rates constant at 4.25%, in line with expectations.
- The Board acknowledged that global risks have moderated, but it also introduced a stronger-than-expected El Niño as a new upside risk to inflation.
- We remain neutral on Soberanos as liability management operation expectations continue to drive curve dynamics, with inflation risks skewed toward flattening.

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EM Sovereign Credit Strategy: Fiscal Risk Premia Update | 08-Jul-2026

We provide a monthly update with EM sovereign recent fiscal results, fiscal scores, and the implied fiscal risk premia.

Chile Economics & Strategy: Rethinking the BCCh: We Now Expect Three More Cuts | 07-Jul-2026

- We revise our BCCh call and now expect 25bp cuts in September, December and January, taking the policy rate to 3.75%.
- The change is driven primarily by a much more benign inflation outlook rather than weaker activity; we forecast June CPI at -0.47% m/m, vastly below consensus
- We forecast inflation at 2.4% y-o-y by YE, assuming continued normalization in energy prices, a benign food backdrop and contained services inflation.
- Under this scenario, keeping the policy rate unchanged at 4.50% would imply an unintended tightening in real monetary conditions as inflation undershoots target.
- Strategy-wise, if our economist's June CPI forecast is realized, we see scope for 2y CAM to reach ~4.05%, but USD/CLP would likely rally towards the 1000 level.

Trade Table

Exhibit 12: Trades overview

		Entry Date	Entry Level	Current	Target	Stop	Notional (\$m or k DV01*)	Gross P&L bp	US\$k
SOVEREIGN CREDIT									
Outright	Buy ARGENT USD GDP Warrant (price)	15-May-26	4.0	6.8	8.0	3.5	10	-	6,980
	Sell Nigeria 5y CDS	20-Jul-26	257	-	220	277	10	-	-
Country RV	Buy MEX Feb'35 vs BRAZIL Mar'34 (g-spread)	15-May-26	2	-7	-25	20	10x10.7	9	47
	Buy GUATEM 29 vs COSTAR 31 (g-spread)	20-Jul-26	19	-	-10	35	10x6.8	-	-
	Buy GHANA 2035 versus ZAMBIN 2033 (g-spread)	20-Jul-26	29	-	-10	45	10x12	-	-
Curve RV	Switch out of VENZ 19 into PDVSA 21 (price)	20-Jul-26	-2.3	-	1.0	-3.5	10x10	-	-
	Switch out of VENZ 22 into PDVSA 12.75% 22 (price)	20-Jul-26	-5.5	-	-3.5	-6.75	10x10	-	-
	Buy SOAF 2030 vs SOAF 2036 (g-spread)	20-Jul-26	61	-	85	45	10x4	-	-
LOCAL RATES									
Directional	Receive 5y IBR vs SOFR	25-Jun-26	642	626	600	680	10	16	164
	Long 6m EGP T-Bill (FX-Unhedged)	26-Jun-26	89.6	90.4	100.0	86.0	10	1	8
	SA 1y1y-2y2y steepener	10-Jun-26	3	13	50	-20	10	10	105
	Buy NGOMOB 22/09/2026	23-Mar-26	18.33	20.75	17.00	19.20	10	-2	-24
	Pay 5y INR NDOIS	15-Jun-26	6.30	6.41	6.90	6.00	10	11	113
RV	Buy 2028 MBonos	18-May-26	7.65	7.33	7.35	7.90	10	32	322
	2031 vs 2037 PeruGB Flatteners	14-Jul-26	284	280	200	315	10	4	38
	Pay 5y HKD IRS vs USD IRS	18-May-26	-77	-55	-35	-90	10	22	218
	HUF 5Y5Y vs PLN 5Y5Y	15-May-26	0	-7	-50	20	10	7	66
	1s5s THB NDTHOR steepener	25-Feb-26	33	58	80	40	10	25	251
CURRENCIES									
Directional	Short USD/TRY 3m FX Forward	22-Apr-26	48.7	47.3	44.6	47.2	10		297
RV	Short EUR/HUF	15-May-26	360.3	361.8	340.0	370.0	10		-
Closed Trades									
Pay Jan 29 DI closed on July 20, 2026									
Switch out of VENZ 38 into PDVSA 26 reached target levels on July 20, 2026									
Short PEN/CLP closed on July 7th, 2026									
Receive July 27 DIs reached target levels on June 15, 2026									
Long SGD/INR closed on June 14, 2026									
Pay TRY 1Y OIS closed on June 11, 2026									
Jan 28 vs Jan 31 DI Steepener reached stop level June 8, 2026									

Source: Morgan Stanley Research; Note: Hold to Maturity (HTM).

Local Markets Snapshots

Ioana Zamfir, Sofia Palacios, Gek Teng Khoo, Nimish Prabhune, Arnab Gupta

LatAm Local Markets		
	FX	Rates
BRL	BRL now looks less compelling as a directional long, with the near-term setup turning more balanced as softer inflows and some position unwinds coincide with earlier-than-expected election noise, limiting upside. Recent US tariff announcements on selected Brazilian imports and new election polls have added another source of uncertainty, reinforcing our view that BRL is unlikely to meaningfully outperform peers despite still attractive carry. External risks and downside risks to oil also leave scope for some tactical underperformance vs peers, even if carry continues to provide a cushion.	We are closing our Jan-29 DI payer as it has hit its stop loss level. The catalyst for a sustained rally in Brazil rates after the June BCB meeting remains limited, with a pause now on the table and near-term inflation risks still elevated. While recent repricing suggests markets are becoming more cautious on the easing path (~31bp of cuts priced in over the next two meetings), combined with election uncertainty and more volatile US rates, we think the DI curve is likely to continue embedding meaningful risk premia unless polls shift toward clearer fiscal consolidation scenarios.
CLP	We are somewhat less constructive on CLP than before. While copper remains supportive and Chile should continue to benefit from lower oil prices, recent inflation surprises have complicated the rates outlook and reduced conviction in a clean CLP appreciation story. We continue to think external drivers will dominate, but would avoid expressing a strong directional FX view through CLP at current levels.	Recent inflation surprises have challenged the market's easing narrative and reinforced the BCC's prolonged-pause message. While activity remains soft, inflation developments suggest policymakers are unlikely to validate easing expectations in the near term. This should help anchor the front end and limit the scope for a sustained selloff in rates. However, El Niño introduces an upside risk to inflation (through potential disruptions to copper supply and higher commodity prices), which could keep markets cautious on outright receivers, even if it is not enough to shift the base case, leaving the front end broadly range-bound absent a clear change in the external backdrop or central bank communication.
COP	We remain constructive on COP and continue to prefer FX as the medium-term expression of the Colombia election outcome. Local assets had already priced a high probability of a shift toward policy orthodoxy, and the narrow second-round margin suggests that pricing the remaining upside may be less linear than previously expected. Still, the result provides political clarity and keeps the narrative supportive for Colombian assets at least until Abelerdo de la Esmeralda takes office on August 7th, while incoming cabinet appointments and details on fiscal plans could provide further upside.	Receive 5y IBR vs SOFR: We expect IBR spreads relative to SOFR to continue normalizing as positive sentiment around the new administration remains supported by incoming cabinet announcements and greater clarity around potential fiscal consolidation plans. We note that the 60th percentile of the historical spread corresponds to levels closer to 470bp, rendering our target as still conservative. While supportive political developments and potential fiscal announcements can still help local rates, ongoing CPI risks, the possibility of further BanRep hikes, and the need for fiscal adjustment should limit the scope for a sustained rally in outright duration.
MXN	We think MXN has remained relatively resilient, but with downside risks building at the margin. The currency has held up well despite Banxico easing and narrower rate differentials, but price action has increasingly tracked broader risk sentiment rather than domestic drivers. At the same time, weaker data (especially the broad-based softness in 1Q26 GDP) points to a more subdued growth outlook, which could ultimately prompt Banxico to resume rate cuts and further dent MXN's carry.	Long 2028 MBonos: We continue to favor nominal bonds, supported by attractive carry (~40bp over three months) and relatively contained inflation, with recent prints showing core still driving but without meaningful upside pressure. On a relative basis, we prefer nominal bonds over TIE and Udibonos, as carry remains more attractive and there is no clear catalyst to shift away from nominals. While weaker growth supports some room for rates to move lower at the margin, Mexico remains a US rates expression, and a sustained rally is unlikely without lower USTs. We therefore keep the long MBonos for carry, with performance closely tied to US rates.
PEN	We remain broadly neutral on PEN. While Peru's macro backdrop remains supportive and BCRP credibility remains high, the currency continues to trade with low realized volatility due to active central bank management. We therefore see more attractive opportunities elsewhere in the region for expressing directional FX views.	2031 vs 2037 PeruGB flattener: We view the Peru sovereign curve as unusually steep relative to history and prefer expressing the Peru rates view through a flattening position. The 2031 PeruGBs are trading through both Peru's policy rate and comparable USTs, reflecting expectations for renewed liability management operations. Once the operation materializes, some unwinding of front-end positioning could drive a flatter curve, making curve flattening the cleaner expression. El Niño-related upside risks to inflation and inflation expectations should also support flattening in the medium term, as Peru's high food CPI weight leaves the front end more vulnerable to a repricing of policy expectations.

AXJ Local Markets		
	FX	Rates
CNY	USD/CNH could head lower as USD weakens, China's trade surplus remains strong, and exporters continue to convert their USD receipts into RMB. However, the downside for the pair may be modest towards ~6.70 as the CFETS basket is at elevated levels, exporters' FX conversion ratio is already at the highs in recent years, and recent USD/CNY fixings signal a preference for currency stability.	We see China rates outperforming its peers by staying largely range-bound. With domestic demand remaining weak, yields remain biased to the downside. That said, a potential acceleration in the rollout of approved budgets and the PBOC refraining from rate cuts may help to prevent yields from making new lows.
INR	We remain neutral on INR. The re-emergence of oil upside risks from Middle East tensions, modest FCNR deposit inflows so far, and inflation upside risks do not bode well for INR, especially as the trade balance enters a period of unfavourable seasonality. That said, potential investor concerns about pushback from the authorities as USD/INR approaches the May high may help to limit the upside for the pair.	Pay 5-year INR NDOIS: We see India yields heading higher as inflation may continue rising, with risks tilted to the upside given the weaker-than-normal monsoon and El Niño risks. This could bolster rate hike expectations, particularly with domestic demand being resilient. The re-emergence of oil upside risks and INR downside risks could also put upward pressure on yields.
IDR	IDR may remain one of the relative underperformers in the region. While IDR has recently rallied, continued policy uncertainty suggests that Indonesia's balance of payments outlook remains skewed to the downside. IDR valuations are also not stretched. For a more sustainable constructive backdrop, a pickup in the pace of policy reform may be required.	Indonesia yields continue to face upside risks, in our view. BI has signalled support for higher yields to attract capital inflows, and should IDR remain weak, there could be room for more policy rate hikes. The 2s10s curve is too flat based on our excess term premia model, and yield differentials with the US are not particularly attractive.
KRW	We see room for moderate appreciation in KRW. Prospects for FX conversion from exporters have improved and the equity market volatility may reduce USD/KRW upside pressure from rebalancing or equity investors' FX hedging flows. A break below the 200-day moving average (~1476) in USD/KRW may be required to open room for more downside toward ~1450.	While 10y KTB yields are already near the 2022 high, fundamentals continue to support high yields. Korea inflation may remain above the BoK's target, growth may stay above potential, Seoul apartment prices remain elevated, BoK has kept the door open to rate hikes in the next few meetings, and the government has signalled an expansionary budget for 2027 (even if it may not require additional KTB issuance).
MYR	MYR sees tailwinds from the capex cycle, authorities' intensified efforts to encourage corporate repatriation of foreign income, and Malaysia's export competitiveness. Both current account and financial account dynamics are favourable. That said, the recent increase in market volatility and uncertainty ahead of the August 1 Negeri Sembilan state elections may limit gains.	We see Malaysia rates as one of the outperformers in the region. Our economists expect BNM's tightening cycle to be shallow with just one rate hike, limiting the extent to which yields can rise. Strong GDP growth and inflation staying relatively low should also aid local rates outperformance.
SGD	We see SGD as a favourable long. Should oil prices rise further triggering risk-off, SGD could outperform relatively given its safe-haven quality. On the other hand, should the Middle East tensions ease, SGD could benefit from rising expectations of monetary policy tightening amid strong growth and rising inflation over the coming months.	We see SGD rates outperforming relatively given our expectations of SGD FX strength and ample liquidity domestically. Despite the upside risks to inflation, MAS net bill issuance has been low, helping to keep yields low. Our US rates strategists' expectation of lower US yields is also conducive for SGD rates to rally.
TWD	TWD could face some downside pressure in the near term from dividend outflows, but we would view it as an opportunity to buy. TWD should strengthen over the coming months as it is supported by the industrial super-cycle, positive carry, and equity inflows from foreign investors.	
THB	We are neutral on THB. On the one hand, THB faces downward pressure from a renewed rise in oil prices and the BoT's comfort with recent THB depreciation. On the other hand, THB could benefit if markets price in a more dovish Fed outlook and a better balance of payments outlook with signs of coordinated monetary and fiscal policy accommodation to support growth.	1s5s THB NDTOR steepener: We see room for the Thai rates curve to steepen as we see inflation continuing to rise while the BoT keeps rates on hold for as long as possible to support growth. There are also signs of fiscal policy turning more proactive, which should support yields in the belly and long-end.
PHP	PHP may underperform within Asia as its current account deficit is the largest in the region and the economy faces stagflationary risks. PHP valuations are not cheap compared to the other current account deficit currencies in Asia, and carry cushion is also limited.	We continue to see upside risks for RPGB yields as inflation in the Philippines is likely to stay elevated, creating scope for continued BSP rate hikes. With the central bank's gradual pace of rate hikes, real yields in the Philippines are low, making RPGBs less attractive.

CEEMEA Local Markets		
	FX	Rates
ZAR	USD/ZAR stability has prevented FX from amplifying the shock, supporting the flatter curve. We remain neutral USD/ZAR, with oil and USD trends balanced, likely keeping the pair range-bound near term.	1y1y vs 2y2y steepener: We think the curve has flattened decently due to the ongoing Middle East conflict. We expect central bank to ease less than market expectations and that could steepen the curve. Further, in case of continued sell off in gold there could be marginal bear-steepening pressure too.
PLN	We stay neutral EUR/PLN, with the pair likely to remain range-bound, supported by EU fund conversion flexibility and a broadly stable EM FX backdrop.	HUF 5y5y receivers vs PLN 5y5y payers: We remain neutral on the front end, but see growing risks at the long end, favouring paying Poland vs Hungary as fiscal dynamics are unlikely to improve ahead of 2027. At current levels, PLN 5y5y acts more as a hedge on oil, with sustained pressures likely to drive further steepening.
HUF	Short EUR/HUF: We expect EUR/HUF to move toward 340 in a de-escalation scenario, driven primarily by risk premium compression rather than flows. Positioning remains elevated but supported, with limited scope for intervention, while lower FX volatility will be key in sustaining the longer-term convergence story.	HUF 5y5y receivers vs PLN 5y5y payers: We see a post-election regime shift supporting stronger policy visibility and EU convergence, driving further compression in HUF risk premia. This underpins our view that HUF 5y5y can move further below Poland, with the long end best positioned to outperform.
CZK	We remain neutral on EUR/CZK, with scope for gradual upside if the CNB lags ECB, but broader EM FX resilience likely to cap moves in the near term.	With high real rates and stable FX, we think the CNB can delay tightening, however we don't want to fade the pricing as there is decent risk of CNB following in line with ECB to maintain credibility.
TRY	Short 3m USD/TRY: We continue to favour short USD/TRY carry in the 3-month tenor, as depreciation – despite accelerating – still undershoots forwards, keeping carry returns intact. Inflows have resumed post initial outflows, and the faster crawl appears a prudent adjustment to manage external balances while maintaining investor confidence.	We see upside risks to Turkish rates, with inflation proving stickier than expected and risks of second-round effects building. In this environment, we think the balance of risks favours higher rates than current market pricing. The xccy curve although is steep and we could see curve flatten especially 6m-12m area.
EGP	With the Middle East crisis easing and oil stabilizing, we think EGP FX could become interesting for carry; however we think T-bills could give higher pick up in yields.	Long 6m T-Bills (FX-unhedged): 6M-bills are offering decent pick up over the T-Bills and with a view that Middle East crisis could stabilize, we think Egypt T-Bills could become favorable again. Recent appreciation in FX should dampen the inflation and improve real yields offered by Egypt.
NGN	We see NGN stability as a key pillar for the carry trade, with the currency remaining resilient despite recent shocks, supported by strong portfolio inflows and improving external balances. This underpins our preference for unhedged OMO exposure, although risks remain skewed to oil price downside, which could weaken FX and the overall carry profile.	Buy NGOMOB 22/09/2026: We remain constructive on Nigeria local rates, particularly OMO bills, where attractive nominal yields continue to draw strong demand. We expect robust refinancing demand, especially in 1-year tenors, to keep yields well supported. The risk is the upcoming election in January 2027 which we think will not be disruptive to the reform agenda.

Sovereign Credit Snapshots

Credit	Commentary and curve preference	Curve
Latin America		
Argentina	Like: Buy ARGENT USD Warrant: While the financing plan laid out by authorities did not include eurobonds as base case for either 2026 or 2027, we stick with our assumption that Argentina issues external bonds in September in order to further build up buffers into a more uncertain 2027 due to the elections. Doing this should enable Argentina to reach our bull case weighted average yields of 8.2%.	USD 41
Brazil	Dislike: Sell BRAZIL Mar'34 vs MEX Feb'35: We see risk-reward as negative into the coming months. Our fiscal and rating models suggest Brazil is fair yet this doesn't factor in that the elections may alter the fiscal trajectory. Brazil looks rich versus Mexico and many other BB-rated credits, meaning we think the market has already priced the positive impact of higher commodity prices.	30y bonds
Chile	Like: We see the new administration's reform agenda as positive, although we see some headline risks. Chile should remain relatively resilient with lower risks relative to other high-quality IG names in EM. Its curve remains flat, and we see value in 15-year bonds on its USD curve.	10y EUR, 15y USD bonds
Colombia	We remain neutral after the election, with the credit now trading near our moderate bull scenario, pricing in one downgrade. We expect some volatility during the transition period with potential announcements of hidden liabilities a risk. Announcements once the new administration takes office could be positive. The long-end has a supportive technical and should help it perform well. We still see value in Colombia's EUR curve, preferring COLOM EUR 38.	30y USD bonds, 12y EUR bonds
Costa Rica	Dislike: Sell COSTAR 31 vs GUATEM 29: Costa Rica has been one of the strongest-performing LatAm BB importers, helped by stronger buffers and optimism around the new administration, but we think the market is still underpricing fiscal risks. The latest fiscal framework points to a materially weaker debt trajectory. Spreads are pricing 1.3 upgrades and leave little room for disappointment. We still prefer long-end bonds as the curve remains relatively steep, with its 2044 bond relatively cheap.	30y bonds
Dominican Republic	The Dominican Republic is now pricing in 0.4 upgrades, with a small tax reform passed, we think this makes sense for now. We prefer its 60 bond as it has the most spread across the curve and trades 10pt below par. We expect the long end to hold up best in any decompression due to demand from locals.	35y bonds
Ecuador	Like: Strong external balances, aided by a sizeable current account surplus, support reserve accumulation. The key driver in the months ahead will be to show more progress on fiscal consolidation after a weaker 2025, which we see as feasible given higher oil prices and spending restraint. At this point the key risk is El Niño, yet the actual impact of this should only be clearer by September.	40s
El Salvador	Dislike: El Salvador has so far kept up with single B average since the middle of February, thanks to its lower beta. However, as energy prices remain higher for longer, we see El Salvador as among the more exposed in the region given its significant energy importer status, which will see external balances weaken. IMF collaboration has also weakened. Risk reward is positive on the IO note.	54s
Guatemala	Buy GUATEM 29 vs COSTAR 31: Guatemala has performed strongly and is pricing in much of the positive reform and governance story, leaving valuations relatively rich versus BB peers. While the new attorney general appointment should support market sentiment and anti-corruption efforts, we think meaningful reforms will take time and rating agencies are likely to wait until the next presidential election before considering IG upgrades. With a steep curve relative to the rest of EM, we prefer the front-end of the curve.	5y bonds
Mexico	Like: Buy MEX Feb'35 vs BRAZIL Mar'34: Mexico has lagged peers, and we think now looks very cheap, including by pricing two full downgrades. Downgrade concerns will likely persist, yet our base case sees no actual downgrades in 2026. Our economist expects activity will pick up from here, we expect external issuance to fall and also include a buy-back. Pemex has richened, and we would position only in the long-end bonds now.	MEX 10y, PEMEX 30y bonds
Panama	We remain neutral on Panama and expect technical support to continue in the near term, helped by higher shipping costs. The credit has outperformed, now pricing in 0.3 upgrades, which we do not expect. We continue to see risks in the medium term, expecting continued debt accumulation, and see insufficient fiscal progress resulting in a downgrade to HY. We prefer its long-end bonds, which have generally underperformed.	30y bonds
Peru	Dislike: We continue to think Peru does not price enough risk of further fiscal weakness, and we do not see a divided congress as a sufficient backstop. We still expect Peru to lag EM peers in the medium term given ongoing fiscal and institutional pressures. Its curve has steepened and we prefer its 2055 bond.	USD 30y bonds
Uruguay	Uruguay remains relatively wide versus peers as we have seen fiscals underperform history on the back of an uptick in spending that has pushed debt stocks upwards. While we expect policy continuity from the current administration, we see uncertainty around the impact of the spending plan. We prefer its 60 bond.	35y bonds

Venezuela	Switch out of VENZ 19 into PDVSA 21, Switch out of VENZ 22 into PDVSA 12.75% 2022: Momentum towards a debt restructuring remains, even if consensus expectations on timing will have been delayed by the earthquake, and there is still upside towards our base case of a fast oil recovery that sees VENZ recover at 60. Among permitted bonds, we favour PDVSA over VENZ, with PDVSA 2021 and both 2022 looking most undervalued.	PDVSA over VENZ
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Credit	Commentary and curve preference	Curve
Europe, Middle East and North Africa		
Turkey	Like: Turkey's macro backdrop is likely to face manageable pressure in 2026 as higher energy prices weigh on growth, fiscal dynamics and external balances. However, we think this weakness should prove temporary, with a rebound expected in 2027 as geopolitical tensions ease and oil prices moderate. Following the recent repricing, spreads now appear to offer sufficient compensation for risks, while both front-end and long-end bonds screen attractively under our framework.	Belly
Ukraine	Ukraine bonds have moved higher in line with the improved prospects of a successful ceasefire, with markets currently implying a pricing of around 67%, now higher than back in February 2025. To break out from this range would require an actual ceasefire, which we assume would require credible security guarantees, which to date have proved challenging for all sides to agree on.	A29s
Egypt	Given the ongoing geopolitical tensions, spillovers to Egypt run mainly through oil, tourism, and the Suez Canal, as direct trade with Iran is negligible. We see the long end being the most vulnerable, and we think the belly offers better protection. The authorities in the recent investor relations email communicate note that they still intend to access the international market as well as raise concessional debt to address external payments due this year.	Belly
Jordan	Spreads have remained relatively contained, with no upgrades now priced in. Risks tilt toward wider spreads given its proximity to the conflict. Last year's issuance and tender suggest limited appetite for near-term issuance.	30s
Morocco	Buy EUR31 vs EUR35: We recommend buying Morocco EUR31s versus EUR35s, targeting 44bp with a 10bp stop, as belly outperformance now looks stretched. Higher oil prices have slowed fiscal consolidation and widened the current account, but resilient tax revenues, tourism, remittances, FDI and US\$48.6bn of reserves should keep the credit story intact. We still see a path to full IG in 2026, provided oil prices do not spike again.	EUR 31s and US \$31

Credit	Commentary and curve preference	Curve
Sub-Saharan Africa		
South Africa	Buy SOAF 2030 vs SOAF 2036: We move SOAF from like to neutral as rising domestic political risks meet valuations near 1y tights, leaving limited room for further compression. Medium-term fundamentals remain intact, but we think better entry points will emerge once a higher political risk premium is priced. We prefer 5s10s steepeners, buying SOAF 2030 versus 2036 at 61bp, targeting 85bp with a 45bp stop, as potential issuance should weigh on the belly.	2030
Ghana	Buy Ghana 2035 vs Zambia 2033: Ghana's fiscal performance continues to surprise positively, with the 1Q26 commitment-basis balance showing a 0.1% of GDP surplus versus a budgeted 1.2% deficit, while the primary surplus reached 1.2% against a 0.2% target. We expect further improvement in the fiscal outturn at this week's mid-year budget review. External buffers are also strengthening, with gross reserves rising to US\$14.4bn, equivalent to 5.7 months of imports, in May 2026.	2035
Kenya	Kenya continues to underperform, as an oil importer, with higher oil prices likely to erode external buffers. The IMF expects fiscal deficits to remain near 6% in 2025 to 2026. We think an IMF programme is possible, although the 2027 elections complicate timing. If oil prices stay high, this could increase the chances of an earlier programme.	Belly
Angola	With oil back above US\$90/bbl, we expect Angola to outperform this week. Higher oil prices should support further improvement in both the current account and fiscal balances, with the IMF forecasting a 2.2% of GDP current account surplus and a fiscal deficit of 2.2% of GDP. Spreads currently imply a 0.5-notch downgrade, which could compress towards zero if oil prices remain around current levels.	Belly
Zambia	Buy Ghana 2035 vs Zambia 2033: Zambia's near-term outlook is weakening as election-related spending, higher oil prices and Food Reserve Agency overruns weigh on the fiscal trajectory. The IMF expects the primary surplus to narrow from 3.1% of GDP in 2025 to 1.1%, while a potentially severe El Niño episode could add further pressure through weaker hydropower generation, lower mining receipts and higher fiscal support. We think these risks leave Zambia spreads vulnerable to underperformance.	33

Nigeria	Like: Sell Nigeria 5y CDS: We recommend selling Nigeria 5y CDS protection at 257bp, targeting 220bp. CDS has lagged the rally in cash bonds despite higher oil prices and a continued build-up in external buffers, leaving the 5y CDS-bond basis wide. With the current account surplus expected above 6% of GDP and reserves rising towards US\$52bn by year-end, we think CDS offers the cleaner expression of Nigeria's improving credit story.	2046
Mozambique	The IMF remains important to anchor fiscal expectations, but politically difficult reforms, including fiscal consolidation and greater exchange rate flexibility, could delay a programme agreement beyond 2026. A broad debt restructuring (not our base case) would likely deliver limited savings given the concessional nature of most external debt. If the 2031 bond were restructured, authorities could extend repayments to align with rising LNG exports from 2029/2030. We estimate fair value at 84.6 versus the current price of 85, leaving risk-reward broadly balanced. A committee has formed and is proposing a pre-emptive restructuring ahead of the September coupon payment. The proposal includes a VRI, which, if implemented, could provide additional upside to our recovery value estimates.	
Senegal	Senegal bond prices should be driven by the appointment of a financial adviser, which could lead to further pricing of a potential debt rework, and by local auction results. For now, we see a high probability that Senegal remains current on its obligations through 2026, with June and July payments met and domestic yields still anchored. We prefer the front end, which offers the most upside if restructuring risks are priced lower.	USD 31 & EUR 28
Ivory Coast	Like: We continue to favour the Ivory Coast as fiscal and external buffers have improved. With the authorities expected to reach a budget deficit of 3% of GDP alongside a current account deficit of around 1% of GDP in 2026, even in a higher oil price environment, we think the macro backdrop remains supportive. Combined with still cheap valuations in the belly of the curve. The evolving risk now is centered on El Niño, where a severe episode could lead to pressure on cocoa earnings.	EUR4

Valuation Methodology and Risks

Exhibit 13: Rates trades

Trade	Date	Entry Level	Target	Stop	Rationale	Risks
2031 vs 2037 PERUGBs flattener	13-Jul-26	284.0	200	315	Front-end Soberanos have significantly outperformed in recent months, with the 2031 now trading through both USTs and the policy rate as investors position for a potential Liability Management Operation. We think much of the expected benefit is already priced in, while the 5s10s curve has steepened to levels last seen during the COVID easing cycle. A confirmed Liability Management Operation could trigger some unwinding of front-end positioning, while medium-term El Niño risks may eventually lead markets to price out easing expectations, creating scope for curve flattening.	A sharp sell-off in USTs could pressure long end of the Soberano curve while Liability Management Operation related demand continues to anchor front-end
Long 6-month EGP T-Bills (FX-Unhedged)	26-Jun-26	89.6	100	86	We initiate bullish bias towards EGP-denominated assets as we see the macroeconomic backdrop remaining supportive. We prefer to express our view via T-Bills given the significant pick-up offered relative to FX-implied yields. Potential for a further normalisation in ME and low oil prices should provide support for the external balances and the currency.	Risk-off sentiment leading to concentrated outflows.
Receive 5y IBR vs SOFR	26-Jun-26	642	600	680	Going forward, we expect IBR spreads relative to SOFR to continue normalizing, as positive sentiment around the new administration should remain supported by incoming cabinet announcements and more details on potential fiscal consolidation plans. We note that the 60th percentile of the historical spread corresponds to levels closer to 470bp, rendering our target as still conservative.	A lack of firm commitment to consolidating fiscals from the incoming administration
Buy NGOMOB 22/09/2026	23-Mar-26	18.33	17	19	A stronger trade balance should offset portfolio outflows, with oil above the US\$40/bbl breakeven. We expect inflation to rise, likely halting CBN cuts. We initiate coverage on Nigeria macro strategy and prefer OMO bills for higher carry and resilience. Short duration offers protection in weaker FX and higher yield scenarios, while high oil prices favour local assets	Substantial decline in oil prices.
SA 1y1y-2y2y steepener	10-Jun-26	3	50	-20	South Africa rates reflect a gap between market pricing (~75bp hikes) and our lower baseline of another 25bp, with risks driven by inflation uncertainty and global rate dynamics. We see front-end steepeners (1y1y-2y2y) as attractive, given asymmetric upside from oil, politics, and FX risks	SARB hikes more than expected with no fiscal risks
HUF 5Y5Y vs PLN 5Y5Y	15-May-26	0.00	-50	20	We expect further risk compression in HUF vs PLN although we understand the big move has happened and those in the trade should take some profit. But we expect long end to compress further against PLN	Worsening of fiscal scenario and positioning unwind
Buy 2028 MBonos	18-May-26	7.65	7.35	7.90	We think that Banxico's reaction function implies a propensity for delaying any potential hikes as much as possible, though we note that it is the only regional economy whose CPI expectations have yet to de-anchor. If anything, we actually think that there is a non-negligible possibility that the door towards another small adjustment (towards 6.00%) could be open in a few months (perhaps after the World Cup) to the extent that the Middle East conflict is resolved without inflicting meaningful inflationary pressures on Mexico.	A large sell-off in US rates.
Pay 5-year HKD vs USD IRS	15-May-26	-77	-35	-90	We expect HKD liquidity to tighten over the coming months as the dividend season for HK-listed companies lasts from June to October and liquidity seasonally tightens into year-end. This may allow the strong HKD bond issuance trend to start having more impact on the rates market. The improving Hong Kong property market could also help loan growth to continue picking up. We choose the 5-year point to improve the carry profile.	HKD liquidity remains ample.
1s5s THB NDTOR steepener	25-Feb-26	33	80	40	We like positioning for steepeners in Thailand. Front-end rates should be anchored by monetary policy staying on hold, as inflation was low heading into the oil price rally and the BoT has said it will keep rates on hold for as long as possible to support growth. Oil-driven inflation should thus drive yields in the belly and long-end of the curve higher. Prospects of more active fiscal policy could also help the curve to steepen.	A lack of monetary and fiscal easing to support growth.
Pay 5-year INR NDOIS	15-Jun-26	6.30	6.90	6.00	We like paying India rates on dips as inflation should rise over the coming months with base effects and upside risks from food and energy inflation. Our economists see inflation moving into the upper half of the RBI's target range, which may bolster market expectations of rate hikes, especially if domestic demand remains robust.	Lower-than-expected inflation in India.

Source: Morgan Stanley Research

Exhibit 14: Credit trades

Stance/Trade	Date	Entry Level	Target	Stop	Rationale	Risks
Buy GUATEM 29 vs COSTAR 31	20-Jul-26	20.0	-10.0	35.0	Among the strong BB CAC names, we maintain our preference for Guatemala and our dislike stance on Costa Rica. Guatemala's buffers should keep it relatively resilient while Costa Rica's upgrade story looks to be on hold.	Near term upgrades from rating agencies for Costa Rica.
Sell Nigeria 5y CDS	20-Jul-26	257.0	220.0	277.0	We recommend selling Nigeria 5y CDS protection at 257bp, targeting 220bp. Cash bonds have already rallied to near one-year highs, but CDS has lagged, leaving the basis unusually wide. Continued reserve accumulation and higher oil prices should support further improvement in Nigeria's external position, driving CDS tighter.	Reintroduction of fuel subsidies and FX related capital controls.
Buy SOAF 2030 vs SOAF 2036	20-Jul-26	61.0	85.0	45.0	5s10s has flattened aggressively recently and we think the curve to re-steepen again given the extreme moves.	Issuance in the front end (5y area) would lead to front-end underperformance.
Buy GHANA 2035 versus ZAMBIN 2033	20-Jul-26	29.0	-10.0	45.0	We recommend buying Ghana 2035s versus Zambia 2033s, targeting -10bp from 19bp with a 45bp stop. Ghana benefits from stronger fiscal and reserve trends, while Zambia faces election-related spending, El Niño risks, hydropower constraints and weaker external buffers.	Lower gold prices and a significantly harsher hit to the cocoa sector.
Switch out of VENZ 19 into PDVSA 21	20-Jul-26	-2.3	1.0	-3.5	This takes out 2 cash price points yet picks 3 price/claim points by moving into a higher coupon PDVSA bond	Any negative announcements suggesting PDVSA bonds will be treated worse than the sovereign bonds
Switch out of VENZ 22 into PDVSA 12.75% 22	20-Jul-26	-5.5	-3.5	-6.75	Both are among the highest cash price bonds but by making the switch it takes out 5 cash price points and picks 2.5 price/claim points	Any negative announcements suggesting PDVSA bonds will be treated worse than the sovereign bonds
Buy MOROC EUR31s vs MOROC EUR35s	09-Jul-26	22.0	44.0	10.0	EUR31s look rich versus EUR35s after strong belly outperformance, while limited expected EUR supply supports a move back toward historical curve levels.	Unexpected post-summer EUR issuance or liability management could keep the belly rich and work against the trade.
Buy MEX Feb'35 vs BRAZIL Mar'34	15-May-26	6	-25	20	Mexico has significantly lagged peers and now looks very cheap, including by pricing two full downgrades. Downgrade concerns will likely persist yet our base case sees no actual downgrades in 2026.	USMCA negotiation entering our bear case or Brazilian polls strongly suggesting a shift towards fiscal consolidation
Buy ARGENT USD GDP Warrant	15-May-26	4.0	8.0	3.5	We think the GDP warrants are underpricing potential future payouts in the legal cases.	The newly filed 2026 case covering the 2013 payment is dismissed

Source: Morgan Stanley Research

Exhibit 15: Credit stances

Dislike Costa Rica Hard Currency Bonds		
Trade	Entry Date	Exit Date
Like Costa Rica Hard Currency Bonds	02-Feb-2026	15-May-2026
Dislike Costa Rica Hard Currency Bonds	15-May-2026	
Dislike Brazil Hard Currency Bonds		
Trade	Entry Date	Exit Date
Dislike Brazil Hard Currency Bonds	22-Oct-2025	23-Mar-2026
Dislike Brazil Hard Currency Bonds	15-May-2026	
Like Mexico Hard Currency Bonds		
Trade	Entry Date	Exit Date
Like Mexico Hard Currency Bonds	25-Apr-2025	02-Mar-2026
Like Mexico Hard Currency Bonds	15-May-2026	
Like Turkey Hard Currency Bonds		
Trade	Entry Date	Exit Date
Like Turkey Hard Currency Bonds	15-May-2026	
Dislike El Salvador Hard Currency Bonds		
Trade	Entry Date	Exit Date
Dislike El Salvador Hard Currency Bonds	23-Mar-2026	
Like Nigeria Hard Currency Bonds		
Trade	Entry Date	Exit Date
Like Nigeria Hard Currency Bonds	20-Jan-2026	
Like Ivory Coast Hard Currency Bonds		
Trade	Entry Date	Exit Date
Like Ivory Coast Hard Currency Bonds	03-Sep-2024	12-Aug-2025
Like Ivory Coast Hard Currency Bonds	21-Nov-2025	
Like Chile Hard Currency Bonds		
Trade	Entry Date	Exit Date
Like Chile Hard Currency Bonds	10-Feb-2025	02-Sep-2025
Like Chile Hard Currency Bonds	17-Nov-2025	
Like Argentina Hard Currency Bonds		
Trade	Entry Date	Exit Date
Like Argentina Hard Currency Bonds	02-Sep-2025	08-Sep-2025
Like Argentina Hard Currency Bonds	16-Nov-2025	
Like Ecuador Hard Currency Bonds		
Trade	Entry Date	Exit Date
Like Ecuador Hard Currency Bonds	16-Nov-2025	

Source: Morgan Stanley Research

Exhibit 16: FX trades

Trade	Date	Entry Level	Target	Stop	Rationale	Risks
Short EUR/HUF	15-May-26	360.30	340	370	We expect EUR/HUF to move toward 340 in a de-escalation scenario, driven primarily by risk premium compression rather than flows. Positioning remains elevated but supported, with limited scope for intervention, while lower FX volatility will be key in sustaining the longer-term convergence story.	Global shock to oil prices and central bank cutting rates faster than expectations
Short 3m USD/TRY forward	22-Apr-26	48.7	46.8	47.1	With the CBT keeping real rates high, the economic programme remaining solid and local political developments becoming less significant for market participants, we continue to like the carry trade in Turkey.	The CBT cutting rates too quickly.

Source: Morgan Stanley Research

Exhibit 17: History of recommendations for stances

Dislike Costa Rica Hard Currency Bonds		
Trade	Entry Date	Exit Date
Like Costa Rica Hard Currency Bonds	02-Feb-2026	15-May-2026
Dislike Costa Rica Hard Currency Bonds	15-May-2026	
Dislike Brazil Hard Currency Bonds		
Trade	Entry Date	Exit Date
Dislike Brazil Hard Currency Bonds	22-Oct-2025	23-Mar-2026
Dislike Brazil Hard Currency Bonds	15-May-2026	
Like Mexico Hard Currency Bonds		
Trade	Entry Date	Exit Date
Like Mexico Hard Currency Bonds	25-Apr-2025	02-Mar-2026
Like Mexico Hard Currency Bonds	15-May-2026	
Dislike El Salvador Hard Currency Bonds		
Trade	Entry Date	Exit Date
Dislike El Salvador Hard Currency Bonds	23-Mar-2026	
Like Nigeria Hard Currency Bonds		
Trade	Entry Date	Exit Date
Like Nigeria Hard Currency Bonds	20-Jan-2026	
Like Ivory Coast Hard Currency Bonds		
Trade	Entry Date	Exit Date
Like Ivory Coast Hard Currency Bonds	03-Sep-2024	12-Aug-2025
Like Ivory Coast Hard Currency Bonds	21-Nov-2025	
Like Chile Hard Currency Bonds		
Trade	Entry Date	Exit Date
Like Chile Hard Currency Bonds	10-Feb-2025	02-Sep-2025
Like Chile Hard Currency Bonds	17-Nov-2025	
Like Argentina Hard Currency Bonds		
Trade	Entry Date	Exit Date
Like Argentina Hard Currency Bonds	02-Sep-2025	06-Sep-2025
Like Argentina Hard Currency Bonds	16-Nov-2025	
Like Ecuador Hard Currency Bonds		
Trade	Entry Date	Exit Date
Like Ecuador Hard Currency Bonds	16-Nov-2025	
Like South Africa Hard Currency Bonds		
Trade	Entry Date	Exit Date
Like South Africa Hard Currency Bonds	12-Aug-2025	

Source: Morgan Stanley Research

Exhibit 18: History of recommendations for trades

Switch out of VENZ 19 into PDVSA 21										
Instrument	Identifier	Maturity	Trade	Entry Date	Entry Level	Exit Date	Exit Level	Target/ Objective	Stop/Re- assess	Size of Trade in Units/Notional
PDVSA 9.000 20211117 REGS Fixed In default	USP780THAP03	17-Nov-2021	Switch out of VENZ 27 into PDVSA 21	01-Apr-2026	8.5	17-Apr-2026		6.5	9.5	10x10
VENZ 8.250 2020915 Bond Fixed In default	US922646A537	15-Sep-2027	Switch out of VENZ 27 into PDVSA 21	01-Apr-2026	8.5	17-Apr-2026		6.5	9.5	10x10
PDVSA 9.000 20211117 REGS Fixed In default	USP780THAP03	17-Nov-2021	Switch out of VENZ 19 into PDVSA 21	20-Jul-2026	-2.3			1	-3.5	10x10
VENZ 7.750 20191013 Fixed In default	USP97475AN08	13-Oct-2019	Switch out of VENZ 19 into PDVSA 21	20-Jul-2026	-2.3			1	-3.5	10x10
Switch out of VENZ 22 into PDVSA 12.75% 22										
Instrument	Identifier	Maturity	Trade	Entry Date	Entry Level	Exit Date	Exit Level	Target/ Objective	Stop/Re- assess	Size of Trade in Units/Notional
PDVSA 12.750 2020217 REGS Fixed In default	USP780THAM71	17-Feb-2022	Switch out of VENZ 22 into PDVSA 12.75% 22	20-Jul-2026	-5.5			-3.5	-6.75	10x10
VENZ 12.750 2020823 Fixed In default	USP17625AC16	23-Aug-2022	Switch out of VENZ 22 into PDVSA 12.75% 22	20-Jul-2026	-5.5			-3.5	-6.75	10x10
Sell Nigeria 5y CDS										
Instrument	Identifier	Maturity	Trade	Entry Date	Entry Level	Exit Date	Exit Level	Target/ Objective	Stop/Re- assess	Size of Trade in Units/Notional
NIGERIA CDS USD 5Y D14	NIGERIA CDS USD 5Y D14	5Y	Sell Nigeria 5y CDS	20-Jul-2026	257			220	277	10
Buy SOAF 2030 vs SOAF 2036										
Instrument	Identifier	Maturity	Trade	Entry Date	Entry Level	Exit Date	Exit Level	Target/ Objective	Stop/Re- assess	Size of Trade in Units/Notional
SOAF 5.875 20300622 Note Fixed	US8362054V00	22-Jun-2030	Buy SOAF 2030 vs SOAF 2036	20-Jul-2026	61			85	45	10x4
SOAF 7.100 20361119 REGS Fixed	XS2908172260	19-Nov-2036	Buy SOAF 2030 vs SOAF 2036	20-Jul-2026	61			85	45	10x4
Buy GHANA 2035 versus ZAMBIN 2033										
Instrument	Identifier	Maturity	Trade	Entry Date	Entry Level	Exit Date	Exit Level	Target/ Objective	Stop/Re- assess	Size of Trade in Units/Notional
GHANA 5.000 20350703 Note Fixed	US174422AP83	03-Jul-2035	Buy GHANA 2035 versus ZAMBIN 2033	20-Jul-2026	29			-10	45	10x12
ZAMBIN 5.750 20330630 Note Variable/step	US98895AQ12	30-Jun-2033	Buy GHANA 2035 versus ZAMBIN 2033	20-Jul-2026	29			-10	45	10x12
Buy GUATEM 29 vs COSTAR 31										
Instrument	Identifier	Maturity	Trade	Entry Date	Entry Level	Exit Date	Exit Level	Target/ Objective	Stop/Re- assess	Size of Trade in Units/Notional
GUATEM 5.250 20290810 REGS Fixed	USP9015VAP15	10-Aug-2029	Buy GUATEM 29 vs COSTAR 31	20-Jul-2026	19			-10	35	10x6.8
COSTAR 6.125 20310219 REGS Fixed	USP9899PK77	19-Feb-2031	Buy GUATEM 29 vs COSTAR 31	20-Jul-2026	19			-10	35	10x6.8
Buy MOROC EUR31s vs MOROC EUR35s										
Instrument	Identifier	Maturity	Trade	Entry Date	Entry Level	Exit Date	Exit Level	Target/ Objective	Stop/Re- assess	Size of Trade in Units/Notional
MOROC 1.500 20311127 REGS Fixed	XS2080771806	27-Nov-2031	Buy MOROC EUR31s vs MOROC EUR35s	09-Jul-2026	22			44	10	10x6.2
MOROC 4.750 20350402 REGS Fixed	XS3041322051	02-Apr-2035	Buy MOROC EUR31s vs MOROC EUR35s	09-Jul-2026	22			44	10	10x6.2
Long 6m T-Bills Egypt										
Instrument	Identifier	Maturity	Trade	Entry Date	Entry Level	Exit Date	Exit Level	Target/ Objective	Stop/Re- assess	Size of Trade in Units/Notional
Egypt Bill	EGYT8 0 12/22/2026 Corp	6M	Long 6m T-Bills Egypt	26-Jun-2026	89.67			100	86	10
SA 1y1y-2y2y steepener										
Instrument	Identifier	Maturity	Trade	Entry Date	Entry Level	Exit Date	Exit Level	Target/ Objective	Stop/Re- assess	Size of Trade in Units/Notional
1y1y ZAR rates	SAP0101 Currency	1Y	SA 1y1y-2y2y steepener	10-Jun-2026	3bp			50	-20	10
2y2y ZAR	SAP0202 BLC Currency	2Y	SA 1y1y-2y2y steepener	10-Jun-2026	3bp			50	-20	10
Buy MEX Feb 35 vs BRAZIL Mar 34										
Instrument	Identifier	Maturity	Trade	Entry Date	Entry Level	Exit Date	Exit Level	Target/ Objective	Stop/Re- assess	Size of Trade in Units/Notional
BRAZIL 6.625 20350315 Bond Fixed	US105756CL22	15-Mar-2035	Buy BRAZIL 35 vs PANAMA 35	12-Aug-2025	-10	04-Sep-2025	5	-50	5	9.7x10
PANAMA 6.400 20350214 Bond Fixed	US6862998707	14-Feb-2035	Buy BRAZIL 35 vs PANAMA 35	12-Aug-2025	-10	04-Sep-2025	5	-50	5	9.7x10
MEX 6.350 20350209 Note Fixed	US91087BAV27	09-Feb-2035	Buy MEX Feb 35 vs BRAZIL Mar 34	15-May-2026	6			-25	20	10x10.7
BRAZIL 6.625 20350315 Bond Fixed	US105756CL22	15-Mar-2035	Buy MEX Feb 35 vs BRAZIL Mar 34	15-May-2026	6			-25	20	10x10.7
Buy ARGENT USD GDP Warrant										
Instrument	Identifier	Maturity	Trade	Entry Date	Entry Level	Exit Date	Exit Level	Target/ Objective	Stop/Re- assess	Size of Trade in Units/Notional
ARGENT 0.000 20351215 \$GDP Floating rate	US040114QM64	15-Dec-2035	Buy ARGENT USD GDP Warrant	15-May-2026	4.01			8	3.5	10
HUF 5y5y rec vs PLN 5y5y payer										
Instrument	Identifier	Maturity	Trade	Entry Date	Entry Level	Exit Date	Exit Level	Target/ Objective	Stop/Re- assess	Size of Trade in Units/Notional
HUF 5y5y IRS	50325F5 5Y5Y BLC Currency	NA	HUF 5y5y rec vs PLN 5y5y payer	15-May-2026	0			-50	20	10
5y5y PLN Forward Swap	P2P50505 Currency		HUF 5y5y rec vs PLN 5y5y payer	15-May-2026	0			-50	20	10
Short 3m USD/TRY										
Instrument	Identifier	Maturity	Trade	Entry Date	Entry Level	Exit Date	Exit Level	Target/ Objective	Stop/Re- assess	Size of Trade in Units/Notional
USD/TRY		3M	Short USD/TRY 3month	20-May-2025	42.66	20-Aug-2025	40.89	39.50	44.0	
USD/TRY		3M	Short 3m USD/TRY FX Forward	24-Sep-2025	44.75	26-Dec-2025	42.8475	43.20	45.5	10
USD/TRY		3M	Short 3m USD/TRY FX Forward	15-Jan-2026	46.17	16-Apr-2026		44.6	47.2	10
USD/TRY		3M	Short 3m USD/TRY	22-Apr-2026	48.7			46.84	47.1	10
Buy NGOMOB 22/09/2026										
Instrument	Identifier	Maturity	Trade	Entry Date	Entry Level	Exit Date	Exit Level	Target/ Objective	Stop/Re- assess	Size of Trade in Units/Notional
NGOMOB 20260922 245D Zero coupon	NGO3G2209267	22-Sep-2026	Buy NGOMOB 22/09/2026	23-Mar-2026	18.33			17	19.2	10

Source: Morgan Stanley Research

Definition of terms

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(as of June 30, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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